

best combine available retirement income tools in order to meet retirement goals and to effectively protect against the risks standing in the way of those goals. Retirement risks include longevity and an unknown planning horizon, market volatility and macroeconomic risks, inflation, and spending shocks that can derail a budget. Each of these risks must be managed by combining different income tools with different relative strengths and weaknesses for addressing each of the risks. There is no single solution that can cover every risk.

6. Approach retirement income tools with an agnostic view. The financial services profession is generally divided between two camps: those focusing on investment solutions and those focusing on insurance solutions. Both sides have their adherents who see little use for the other side. But the most efficient retirement strategies require an integration of both investments and insurance. It is potentially harmful to dismiss subsets of retirement income tools without a thorough investigation of their purported role. In this regard, it is wrong to describe the stock market as a casino, to lump income annuities together with every other type of annuity, and to dismiss reverse mortgages without any further consideration.

For the two camps in the financial services profession, it is natural to accuse the opposite camp of having conflicts of interest that bias their advice, but each side must reflect on whether their own conflicts color their advice. On the insurance side, the natural conflict is that insurance agents receive commissions for selling insurance products and may only need to meet a requirement that their suggestions be suitable for their clients. On the investments side, those charging for a percentage of assets they manage naturally wish to make the investment portfolio as large as possible, which is not necessarily in the best interests of their clients who are seeking sustainable lifetime income and proper retirement risk management. Meanwhile, those charging hourly fees for planning advice naturally do not wish to make their recommendations so simple that they forego the need for an ongoing planning relationship. It is important to overcome these hurdles and to rely carefully on what the math and research show. This requires starting from a fundamentally agnostic position.